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Case Number: 23PSCV01900 Hearing Date: July 15, 2026 Dept: H

Heavy Metal Steel
Company, Inc. v. The Avenue Azusa, LLC, et al., Case No. 23PSCV01900 (Related
to Case No. 23STCV15420)

ORDER ON MOTION
FOR ATTORNEY FEES

Plaintiff/Judgment Creditor
Heavy Metal Steel Company, Inc.'s Motion for Award of Statutory Penalties and
Attorney's Fees and Costs is DENIED WITHOUT PREJUDICE.

Background

Plaintiff/Judgment
Creditor Heavy Metal Steel Company ("Heavy Metal") entered into a
sub-subcontract with Defendant/Judgment Debtor Sahara Construction Company,
Inc. ("Sahara") on April 5, 2022 for Sahara to install the rebar required for a
mixed-use construction project called "Lumia Azusa II" in Azusa, California
(the "Lumia Project").

Disputes
over payment arose during the Lumia Project, and Heavy Metal eventually filed
this action, naming six defendants and fifty Does and asserting a total of 11
causes of action for breach of contract and related claims.

On
September 21, 2023, the Court ordered this case related to Interebar v.
Heavy Metal Steel Company, Inc. et al., LASC Case No. 23STCV15420.

On September 19, 2024, after all other defendants were dismissed, the Court entered default judgment for Heavy Metal against Sahara in the total sum of $251,659.89 (the “Judgment”).

Heavy Metal’s efforts to collect on the Judgment have been extensively litigated in this Court.

Those efforts have been principally focused on funds possessed by Third-Party Staples Construction Co. (“Staples”), the Responding Party here.

On November 27, 2024, Heavy Metal moved for an assignment order (“Assignment Order”) for Staples to pay to Heavy Metal, rather than Sahara, all accounts receivable in connection with several construction projects (“Projects”) to which Sahara had contributed labor or materials.

Heavy Metal’s motion was directed specifically to retention funds Staples had yet to disburse to Sahara for the Projects, which after deductions were expected to net Sahara somewhere between approximately $130,000 and $200,000. Heavy Metal argued the funds should be paid to Heavy Metal, rather than Sahara.

On February 10, 2025, the Court granted the Assignment Order, with certain amendments not material to the instant motion. (02-10-2025 Order, p. 3.)

On July 25, 2025, Heavy Metal moved for an order that Staples turn over $144,295.06 Staples retained from Sahara in connection with a particular “Bryson II” Project. Staples opposed the motion, contending it had a right to at least part of the retained funds based on its own ongoing disputes with Sahara. The Court disagreed and granted the turnover order on September 9, 2025 (“First Turnover Order”).

On December 17, 2025, Heavy Metal moved for an order that Sahara pay Heavy Metal’s post-judgment attorneys' fees and costs.

On
January 8, 2026, Heavy Metal filed a substantially equivalent motion to its
July 25, 2025 turnover motion, seeking an order that Staples turn over $174,130.94
retained from Sahara in connection with a "Ventura Springs" Project. Staples also
opposed the January 8, 2026 motion substantially similar grounds, arguing it
was entitled to retain at least some of the funds based on its own disputes
with Sahara over payment.

On
March 23, 2026, the Court granted Heavy Metal's motion for post judgment fees
and costs against Sahara and Heavy Metal's second motion for a turnover order
against Staples ("Second Turnover Order").

On
April 20, 2026, Heavy Metal filed the instant motion for statutory penalties
and attorneys' fees and costs from Staples.

Legal Standard

Civil
Code Section 8818

"California
has a series of so-called "prompt payment" statutes that require general
contractors to pay their subcontractors within specified, short time periods,
and that impose monetary penalties for violations.' . . . These prompt payment
statutes serve a ' "remedial purpose: to encourage general contractors to pay
timely their subcontractors and to provide the subcontractor with a remedy in
the event that the contractor violates the statute." [Citation.]' . . . ." (FEI
Enterprises, Inc. v. Yoon (2011) 194 Cal.App.4th 790, 795-796,
internal citations omitted.)

One
such prompt payment statute appears at Civil Code section 8814:

"(a)
If a direct contractor has withheld a retention from one or more
subcontractors, the direct contractor shall, within 10 days after receiving all

or part of a retention payment, pay to each subcontractor from whom retention has been withheld that subcontractor's share of the payment. . . .

(c)

If a good faith dispute exists between the direct contractor and a subcontractor, the direct contractor may withhold from the retention to the subcontractor an amount not in excess of 150 percent of the estimated value of the disputed amount."

Civil

Code section 8818 applies penalties and shifts fees for a section 8814 retention payment wrongfully withheld:

"If

an owner or direct contractor does not make a retention payment within the time required by [Civil Code section 8814 et seq.]:

(a)

The owner or direct contractor is liable to the person to which payment is owed for a penalty of 2 percent per month on the amount wrongfully withheld, in place of any interest otherwise due.

(b)

In an action for collection of the amount wrongfully withheld, the prevailing party is entitled to costs and reasonable attorney's fees."

(Civ.

Code, § 8818.)

Civil

Code Section 1717

"Code

of Civil Procedure section 1021 codifies the 'American rule' that each party to litigation ordinarily pays its own attorney fees. [Citation.]" (Westwood Homes, Inc. v. AGCPII Villa Salerno Member, LLC (2021) 65 Cal.App.5th 922, 926–927.) "But [Civil Code] section 1717 provides an exception where the parties enter into an enforceable agreement authorizing an award of fees." (Id., at p. 927.)

“In an
action on a contract, section 1717 permits an award of attorney’s fees to the prevailing party.” (Silver Creek, LLC v. BlackRock Realty Advisors, Inc. (2009) 173 Cal.App.4th 1533, 1538.) In relevant part, the section reads:

“In
any action on a contract, where the contract specifically provides that attorney’s fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs.”

According
to the statute, “the party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract.” (Civ. Code, § 1717, subd. (b)(1).) “The court may also determine that there is no party prevailing on the contract ….” (Id.)

Code
of Civil Procedure Section 701.020

Code of
Civil Procedure section 701.020 sets out independent liability and fee-shifting mechanisms where a third party refuses to obey orders that it deliver a judgment debtor’s property to the judgment creditor:

“If
a third person is required [by relevant laws] to deliver property to the levying officer or to make payments to the levying officer and the third person fails or refuses without good cause to do so, the third person is liable to the judgment creditor for whichever of the following is the lesser amount:

(1) The value of the judgment debtor's interest in the property or the amount of the payments required to be made.

(2) The amount required to satisfy the judgment pursuant to which the levy is made.”

(Code

Civ. Proc., § 701.020(a).)

If a
third party’s liability is established under subdivision (a), the court may at its discretion “require the third person to pay the costs and reasonable attorney's fees incurred by the judgment creditor in establishing the liability.” (Id., subd. (c).)

The
obligations of a “third person” holding a judgment debtor’s property appear in Code of Civil Procedure section 701.010:

“When
the debtor’s property is in the possession of a third person (such as a financial institution), the judgment creditor may serve [a] writ of execution and the notice of levy upon the third person; once it does, the third person ‘shall’ ‘at the time of the levy or promptly thereafter’ ‘deliver to the levying officer any of the [judgment debtor's] property levied upon that is in the [third person’s] possession’ or ‘control’ [footnote] (1) ‘unless the third person claims the right to possession of the [judgment debtor's] property,’ or (2) ‘[u]nless the third person [otherwise] has good cause for failure or refusal’ to comply with the levy. ([Code Civ. Proc.,] § 701.010, subds. (a) & (b)(1).) For purposes of the second exception, ‘ “good cause” includes, but is not limited to, a showing that the third person did not know or have reason to know of the levy from all the facts and circumstances known to the third person.’ ([Code Civ. Proc.,] § 701.010, subd. (c).)”

(Bergstrom
v. Zions Bancorporation, N.A. (2022) 78 Cal.App.5th 387, 398 (Bergstrom).)

Discussion

1. Application of Civil Code Section 8818

Civil
Code section 8818(a) imposes a 2 percent monthly penalty on a general contractor who fails to pay out retention funds to a subcontractor, but only “on the amount wrongfully withheld”. (Code Civ. Proc., § 8818(a).) Civil Code section 8818(b) shifts fees for parties who dispute a wrongful retention. Specifically, subdivision (b) permits a “prevailing party” to recover fees

"[i]n an action for collection of [an] amount wrongfully withheld". (Civ. Code, § 8818(b).)

Heavy Metal construes the Turnover Orders to contain findings that the Bryson II and Ventura Springs Project retentions were wrongfully withheld for purposes of section 8818; thus, because Heavy Metal successfully asserted its right to the payments as Sahara's assignee, Heavy Metal is entitled to its attorneys' fees.

In opposition, Staples contends Heavy Metal's post-judgment law and motion collections proceeding against it is insufficient to establish wrongful withholding or a prevailing party for purposes of section 8818.

Heavy Metal relies primarily on findings the Court made in the Second Turnover Order. Specifically, the Court cited Civil Code section 8814(a) for Staples' obligation to pay over to Sahara – or, here, Heavy Metal as Sahara's assignee – all of the retention except the portion to which there was a good faith dispute. (03-23-2026 Order, p. 8.) The Court noted that the Civil Code required Staples to estimate what amount was subject to good faith dispute within 10 days of receiving the retention from the owner of the Ventura Springs Project, and to retain only up to 150% of the disputed amount, returning the rest to Sahara. (Id., at p. 9.) But Staples had attempted to withhold the retention payment based on backward-looking charges identified months after the 10-day period to return Sahara's retention had expired. (Id., at p. 9.) Based on those facts, Staples had forfeited its right to withhold the retention based on a purported good-faith dispute, and the whole amount should be turned over to Heavy Metal. (Id., at pp. 9-10.)

In its opposition to the Second Turnover Order, Staples objected that the $174,130.94 withheld retention had not been adjudicated as belonging to Staples or Sahara, and therefore could not be awarded to Heavy Metal. (Id., at p. 10.) The Court rejected this argument, because the retention was "a fixed, liquidated, presently payable figure", and Staples had "no good faith basis for contesting Heavy Metal['s] right to the retention, as [Staples'] failure to comply with . . . section 8814, subdivision (c) caused its denial of the debt for retention to fall short of the objective test for a ‘good faith’ dispute.” (Id.)

Heavy Metal relies on the last language – “no good faith basis”, “fall[ing] short of the objective test for . . . ‘good faith’ ” – to argue the question of wrongful withholding has been decided for purposes of section 8818. The Court disagrees. The Court has not adjudicated wrongful withholding, nor has Heavy Metal or Sahara been determined a prevailing party for purposes of sections 8814 or 8818.

Wrongful withholding requires a finding that there is no bona fide dispute between the claimants to retention funds. (See FEI Enterprises, Inc. v. Yoon, supra, 194 Cal.App.4th, at pp. 797-800.) Although the Court referred to Staples’ failure to abide by section 8814(c) in the Second Turnover Order, the Court did not find the funds were wrongfully withheld as to Sahara. The Court’s findings regarding section 8814(c) related to the fixed or unfixed character of the retention payment, for purposes of turnover. It was not a fully-litigated finding of wrongful withholding.

Also, a prevailing party determination requires the Court to evaluate which party accomplished its goals in litigation over the right to retention payments. (See Brawley v. J.C. Interiors, Inc. (2008) 161 Cal.App.4th 1126, 1137 (Brawley) [prevailing party determined “‘on a practical level’ after considering what each party accomplished via the litigation”].) By comparison to contractual fee-shifting, the Court may not determine a prevailing party until there has been a final resolution of all relevant claims. (Cf. Hsu v. Abbara (1995) 9 Cal.4th 863, 876, quoted in Brawly, supra.) There was no litigation over the right to retention payments here. The question before the Court was whether Staples should release the payment to Heavy Metal and then litigate with Sahara, or whether it could keep the payment while litigation was pending. (See 09-09-2025 Order, at p. 7 “whatever Staples paid to Heavy Metal in this case would be a defense for Staples and credited against Sahara’s recovery” in other litigation].)

Finally, the abstract question whether Heavy Metal has succeeded to Sahara’s right to penalties as assignee of the retention is irrelevant for purposes of this ruling.

Section 8818(b) does not permit the Court to award either penalties or fees in the course of post-judgment law and motion proceedings.

2. Civil Code Section 1717

For the same reason, Heavy Metal has not established it is entitled to attorneys' fees from Staples based on Staples' contract with Sahara. Civil Code section 1717 requires a prevailing-party determination. "[I]n deciding whether there is a 'party prevailing on the contract,' the trial court is to compare the relief awarded on the contract claim or claims with the parties' demands on those same claims and their litigation objectives as disclosed by the pleadings, trial briefs, opening statements, and similar sources. The prevailing party determination is to be made only upon final resolution of the contract claims and only by 'a comparison of the extent to which each party ha[s] succeeded and failed to succeed in its contentions.' [Citation.]" (Hsu v. Abbara (1995) 9 Cal.4th 863, 876.)

Heavy Metal stresses that it should be able to recover fees and penalties – under both section 8818 and section 1717 – because it is the assignee of Sahara's rights. But Heavy Metal is not the assignee of Sahara's legal rights and remedies; it the assignee of the payments made according to those rights. Essex Ins. Co. v. Five Star Dye House, Inc. (2006) 38 Cal.4th 1252, cited in Heavy Metal's motion and reply, is instructive on this point; there, the assignee of an insured's right of action against his insurer was permitted to recover fees in connection with that action. (Id., at pp. 1255-1257.) The Turnover Orders were orders to pay over money that Heavy Metal had a right to according to its judgment against Sahara. They were not orders that Heavy Metal stood in Sahara's shoes for all purposes, either for wrongful retention or under the contract between Staples and Sahara.

The Court cannot award prevailing-party fees on a piecemeal basis to a judgment debtor assignee after litigation of the sole issue of turnover via post-judgment motion.

3. Code of Civil Procedure Section 701.020

Heavy Metal may be entitled to some fees pursuant to Code of Civil Procedure section 701.020. Section 701.020 is the only authority for Heavy Metal’s motion that falls within the Enforcement of Judgments Law. Under section 701.020, a party may be liable for fees at the court’s discretion, if it is first determined to be independently liable for a judgment debt. But in order for a third party to be independently liable in the first instance, the Court must first determine that it did not comply with its obligations under section 701.010, and find that it failed to comply without good cause.

The intersection of sections 701.010, 701.020(a), and 701.020(c) leave several necessary questions unanswered by Heavy Metal’s motion. The Court questions, for example, whether Staples can now be adjudicated independently liable, given that it appears undisputed that both turnovers have been made. (See Opp., 2:1-3.) Also, even if it were possible to adjudicate Staples liable after funds have already been turned over, neither Turnover Order settles the question of good cause. In fact, Heavy Metal concedes in its Reply that “[Staples’] Opposition raises complicated factual issues pertaining to what Staples knew or didn’t know at the time of the levies,” such that Heavy Metal abandons its claim for fees under section 701.020(c) (while carefully not forfeiting its arguments on the point). (Reply, 7:14-21.)

Although Heavy Metal might have a basis to recover fees under section 701.020, it has not established as much in its motion.

Conclusion

Heavy Metal’s motion is denied without prejudice.